

initially took over, the Ebitda margin was in the high single digits; today, it is in the 20% range. With 4,600-plus beds and plans to add 2,000 more, Fortis has the potential for continued growth in terms of clinical leadership, revenue, and bed numbers. In our group of 85 hospitals, Singapore remains the largest contributor to revenue and Ebitda, followed by Malaysia and Turkey. However, Fortis is catching up. Over the next five years, we see significant room for further growth at Fortis, which is what excites us. To date, we have invested more than ₹4,600 crore in Fortis, which accounts for 31% of our equity in the company. Most of our expansion at Fortis has been funded through internal accruals, and the balance sheet is strong, with approximately only ₹300 crore in net debt. This positions us well for future acquisitions or expansions in India.

Our investment strategy, when it comes to M&A, is guided by four principles. **First, we target markets**

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“In our group of 85 hospitals [across 10 countries], Singapore remains the largest contributor to revenue and Ebitda, followed by Malaysia and Turkey”

with growth potential where we can achieve leadership. Second, the acquisition must be synergistic with our existing portfolio. Third, operational and clinical excellence is crucial. And finally, the acquisition must meet our financial metrics, becoming accretive by the second or third year. These principles led us to acquire Island Hospital in Malaysia recently, and we apply the same discipline to our acquisitions in India.

At the group level, we have also realigned our strategy with a focus on growth, profitability, and sustainability. We are listed on two stock exchanges—Bursa Malaysia and the Singapore Stock Exchange—both of which place a strong emphasis on sustainability. Occupancy across our hospitals is at 70%, which is high for a private group. In India, some hospitals are operating at 90-100% occupancy, so we are prioritising brownfield expansions in these locations.

Q: With IHH expanding its high-end oncology

and lab services, what’s the next big step to elevate your global healthcare offerings?

A: We have the largest laboratories in four countries: Singapore, Malaysia, India, and Turkey. Each is focussed on local business. **The lab business is evolving into higher-margin, more complex services. Precision medicine, genetic medicine, and genomics—these areas are rapidly growing, especially in oncology, which is becoming the biggest specialty in many of our markets.** As a result, we have formed IHH Laboratories.

Earlier, even from a high-tech place like Singapore, lab specimens for genetic testing were sent to the US to Mayo Clinic, costing \$5,000 and taking two weeks for results. Now, we are establishing a reference laboratory in Southeast Asia. Agilus [Diagnostics, a subsidiary of Fortis] has a genetic team, and we have invested in a [Singapore-based] start-up called Lucense that specialises in liquid biopsies. We aim to elevate our lab business into a vertical. The focus on oncology is... [based] on some worrying trends: One in three Singaporeans will develop cancer in their lifetime. India’s situation is also alarming, with potentially one in four affected... [Cancer cases are] growing, driven by diet, environment, and genetics.

It’s not just about training oncologists anymore; genomics is critical to treatment... Today, targeted therapies are available, requiring high-end laboratories to test genetic markers and identify specific mutations for precise treatments.

From lab testing to surgical oncology to radiation, we have made significant advancements. Fortis FMRI recently acquired the latest MR-LINAC machine in India for precise treatment, and Singapore’s Novena has the first proton beam machine in the country.

We are focussing on labs and oncology as the next big verticals. We are looking at how we can optimise lab services across four markets to benefit our patients. Additionally, we continue to lead in clinical excellence across our markets, with Singapore’s Mount Elizabeth Novena and Fortis FMRI in Gurugram emerging as centres of excellence in oncology.

Q: How can public-private partnerships help expand healthcare to Tier II and III cities?

A: In countries like Singapore and Malaysia, public-private partnerships are becoming increasingly common. These partnerships allow governments to leverage the private sector’s capacity, such as shorter waiting times, while paying reasonable fees. This approach ensures that public sector patients receive care in private hospitals... public-private partnerships are the way forward. **The private sector can help, but the**